COMPANY UPDATE

2020.4.21

신뢰에 가치로 답하다 삼성증권 SAMSUNG

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Hyndai Motors (005380)

Why is foreign ownership at its lowest level in 10 years?

- **As of Apr 20, foreign ownership in Hyundai Motor (common shares) stood at 35.3%, the lowest since the Global Financial Crisis. The decline accelerated after the 2017 THAAD dispute.**
- **With COVID-19, oil price collapse, and de-globalization, demand recovery in emerging markets will be prolonged.**
- **In 1H20, surging U.S. unemployment is expected to depress demand, while falling used-car values may pressure.**

AT A GLANCE

Rating	BUY
Target Price	105,000원
Current Price	93,500원
Market Cap.	20.0 Trillion won
Shares(float)	213,668,187 Shares (64.5%)
52 Week L/H	65,900 won / 143,500 won
60 Days Avg. Vol.	1,77.25 Billion won

ONE-YEAR PERFORMANCE

	1M	6M	12M
Hyundai Motors (%)	31.5	-24.0	-30.2
Kospi Benchmark (%pts)	9.6	-16.7	-17.7

KEY CHANGES

(won)	New	Old	Diff
Rating	BUY	BUY	
Target	105,000	105,000	0.0%
2020E EPS	7,599	7,599	0.0%
2021E EPS	11,426	11,426	0.0%

SAMSUNG vs THE STREET

No of estimates	18
Target price	126,111
Recommendation	4.0

BUY ☆☆☆ 5 / BUY : 4 / HOLD:3 / SELL:2 / SELL ☆☆☆ 1

WHAT'S THE STORY

Foreign selling: focused on Hyundai, Kia, and Mobis with sharp investment decline

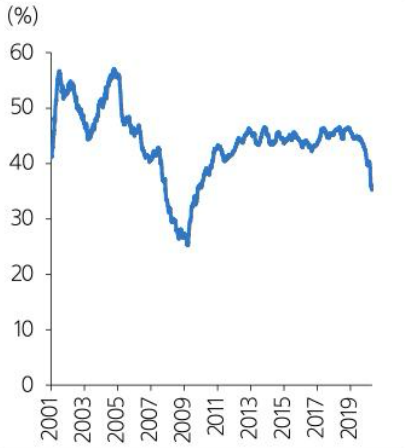
- **Since the 2017 THAAD** dispute, Hyundai's foreign ownership dropped 11 percentage points over three years. Kia's ownership rose 1.5 points to 39.4%, Mobis fell 2 points to 46%, and Mando saw the largest decline, down 20 points to 21.5%.
- **Hyundai's portfolio is heavily weighted** towards emerging markets, with 50% of sales in these markets in 2019, higher than competitors. Growth was driven by motorization in China and other emerging markets.
- **Emerging market demand** peaked in 2017 and is unlikely to recover soon. Domestic demand is steady but insufficient; growth depends on gaining market share in advanced markets.
- **Genesis' U.S. market share** growth is critical, with new GV80 and G80 models launching in 3Q20.
- **In 1H20, financial risks rise as U.S. used car prices dropped 15% in April.** A 10% used car price drop could lead to about 400 billion KRW loss for Hyundai Capital America, comparable to GM and Ford's estimated losses.

SUMMARY FINANCIAL DATA

	2019	2020E	2021E	2022E
Revenue (Billion won)	105,746	96,283	105,365	109,480
Operating Income (Billion won)	3,606	2,481	3,661	4,341
Net Profit (Billion won)	3,186	2,215	3,331	3,982
EPS (adj) won	10,761	7,599	11,426	13,661
EPS (adj) growth (%)	101.1	(29.4)	50.4	19.6
EBITDA margin (%)	7.0	6.5	7.0	7.4
ROE (%)	4.3	3.0	4.4	5.1
P/E (adj) (multiple)	9.1	12.8	8.5	7.1
P/B (multiple)	0.4	0.4	0.3	0.3
EV/EBITDA (multiple)	13.1	15.3	12.9	11.6
Dividend yield (%)	4.1	6.1	6.1	7.2

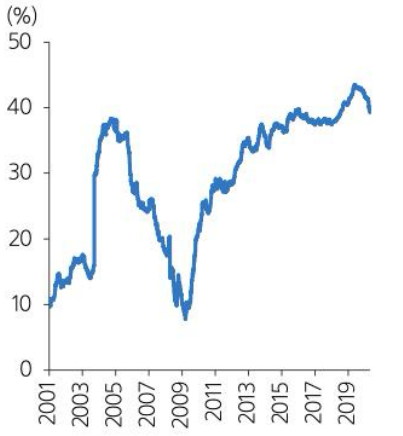
Source: Samsung Securities (Estimate)

Hyundai Motors Foreign Ownership Trend



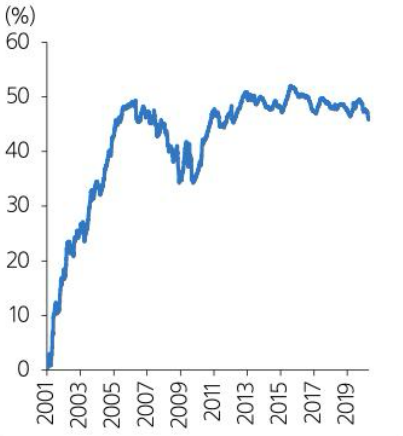
Source: Quantiwise, Samsung securities

Kia Motors Foreign Ownership Trend



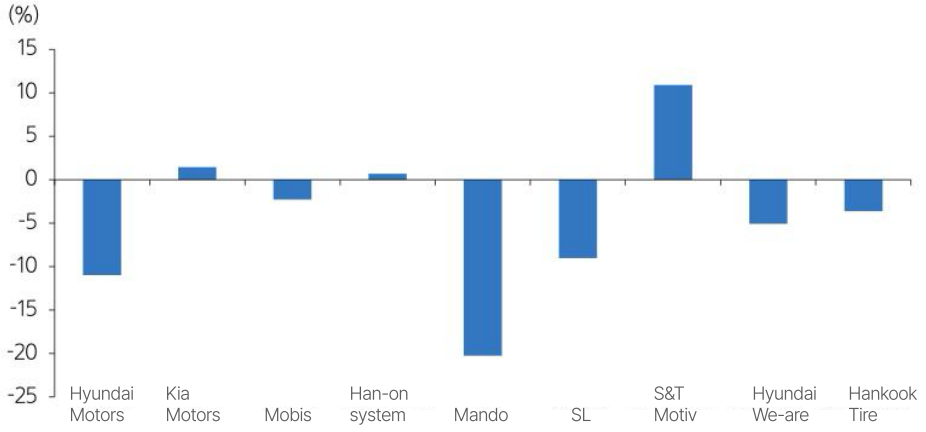
Source: Quantiwise, Samsung securities

Mobis Foreign Ownership Trend



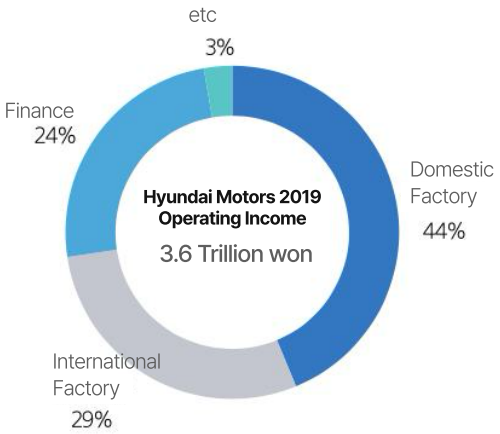
Source: Quantiwise, Samsung securities

Vehicle sector, Foreign ownership change (March 2017)



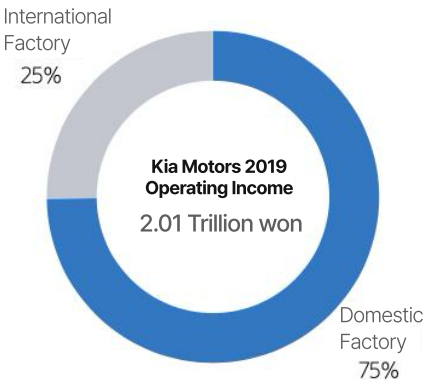
March 31, 2017 compare to April 20, 2020
Source: Quantiwise, Samsung securities

Hyundai Motors 2019 Operating Income



Source: Hyundai Motors, Samsung securities

Kia Motors 2019 Operating Income



Source: Kia Motors, Samsung securities